Fictional Quarterly Financial Report - Q3 (DEMO DOCUMENT)

This fictional report describes the financial position of Demo Retail Limited for the third quarter. All figures are invented for testing the DocuMind application.

Income Statement Highlights

Total revenue for the quarter was 48.5 million rupees, an increase of eight percent over the previous quarter. Cost of goods sold was 29.1 million rupees, giving a gross profit of 19.4 million rupees and a gross margin of 40 percent. Operating expenses rose by nine percent to 11.2 million rupees, mainly because of higher payroll and rent.

Net profit after tax was 5.3 million rupees compared with 4.6 million rupees in the previous quarter. Earnings per share improved to 2.65 rupees, and the board has recommended an interim dividend of one rupee per share.

Balance Sheet and Cash Flow

Total assets at the end of the quarter stood at 210 million rupees, while total liabilities were 96 million rupees, leaving shareholder equity of 114 million rupees. The company repaid a term loan instalment of 3 million rupees and reduced its bank borrowings to 41 million rupees, which lowered the interest expense.

Cash flow from operating activities was positive at 7.8 million rupees. Capital expenditure of 2.4 million rupees was spent on new store fittings. The closing cash balance improved to 18.6 million rupees, which strengthens the working capital position.

Tax, Audit and Outlook

The provision for income tax was calculated at 25 percent of profit before tax. The audit committee reviewed the interim financial statements and reported no material misstatements. Management expects the budget for the next quarter to be met, although currency fluctuations and rising interest rates remain risks for the investment plan.